najbliżej Ciebie

Quarterly Report of the DINO POLSKA S.A. Group for Q1 2023

Unofficial translation. Only the Polish version is binding.

„DINO POLSKA" Spółka Akcyjna ("Dino", "Company", "parent company")
Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 March 2023 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document ("Q1 2023 Report", "Report") comprises the condensed quarterly consolidated financial statements (unaudited) of the DINO POLSKA S.A. Group ("Group", "Dino Group") for Q1 2023 ("Financial Statements"), the Company's condensed financial information and additional information required by the pertinent legal regulations.

Unless specified otherwise, the data in this Report comes from Dino. This document was prepared on 4 May 2023 ("Report Date").

Table of contents

1. DINO GROUP'S FINANCIAL HIGHLIGHTS

	PLN 000s		EUR 000s*	
	01.01.2023-31.03.2023	***01.01.2022-31.03.2022***	***01.01.2023-31.03.2023***	***01.01.2022-31.03.2022***
Sales revenue	5,544,294	3,854,257	1,179,512	829,372
Operating profit	375,696	262,854	79,927	56,562
Profit before tax	333,951	235,115	71,046	50,593
Net profit	270,654	191,375	57,580	41,181
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	2.76	1.95	0.59	0.42
Cash flow from operating activities	243,284	(97,836)	51,757	(21,053)
Cash flow from investing activities	(309,675)	(335,368)	(65,881)	(72,166)
Cash flow from financing activities	(88,520)	292,010	(18,832)	62,836
Net change in cash and cash equivalents	(154,911)	(141,194)	(32,956)	(30,383)

* In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2023: 4.7005
- average NBP exchange rate for Q1 2022: 4.6472

	PLN 000s		EUR 000s*	
	31.03.2023	***31.12.2022***	***31.03.2023***	***31.12.2022***
Total assets	8,964,271	9,003,059	1,917,286	1,919,670
Total non-current assets	6,455,337	6,296,353	1,380,673	1,342,535
Total current assets	2,508,934	2,706,706	536,613	577,135
Equity	4,474,437	4,203,783	956,996	896,348
Share capital	9,804	9,804	2,097	2,090
Non-current liabilities	1,108,338	1,109,149	237,052	236,497
Current liabilities	3,381,496	3,690,127	723,237	786,824

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 March 2023: 4.6755
- NBP's average exchange rate as at 31 December 2022: 4.6899

2. Management Board Activity Report

2.1. Operations of the Dino Group

2.1.1. Business profile

Dino is a Polish network consisting of medium-sized grocery supermarkets located close to clients' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

As at 31 March 2023, the Dino network consisted of 2,210 stores with a total selling area of 869,417 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its store count by 976, i.e. 79%, in the period of three years up to 31 March 2023. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in the period of January-March 2023 stood at 27.2% compared to the corresponding period of 2022. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standardized store design, equipped with parking places for its customers and supplied with fresh products every day of the week. The sales floor area in most stores is approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

Dino Polska's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on eight distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They also enable Dino to purchase merchandise on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Group's profitability.

Dino's strategy assumes further business development by focusing on three key areas:

- continuation of rapid organic growth in the number of stores – the Management Board of Dino Polska intends to maintain the high pace of growth of the selling area in Dino stores in subsequent years. The Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions;
- continuing to grow LFL sales revenues in the current store network – to continue growing LFL sales revenues in the existing store network, Dino Polska will take actions to augment customer traffic in Dino stores and the basket value per customer;
- consistent improvement of profitability – in past years Dino Polska generated sustainable growth in its EBITDA margin. The aim is to continue to improve profitability by expanding the scale of operations and thanks to the favorable business model and strategic initiatives undertaken by Dino Polska.

Dino Polska gives consideration to risks related to its climate impact and the climate's impact on the business model selected by Dino Polska. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group. In 2023 Dino Polska has continued to install photovoltaic panels on the rooftops of Dino stores whereby the Dino Group's electricity demand is being satisfied to an ever greater degree by renewable energy sources. In Q1 2023 the number of Dino stores outfitted with their own photovoltaic installations rose by 62 to 1,763 while the total capacity of these installations climbed to 68.2 MW. In this very same period the Dino Group generated 7.6 GWh of electricity from the sun versus 5.1 GWh in the corresponding period of 2022.

2.1.2. Recap of the Dino Group's operations in Q1 2023

In Q1 2023, the Dino Group's revenue totaled PLN 5,544.3 million and was PLN 1,690.0 million, i.e. 43.8% higher than in Q1 2022. Concurrently, the cost of sales rose 46.3% to PLN 4,209.3 million.

The table below presents selected line items from the consolidated statement of profit or loss.

(PLN 000s)	**Q1 2023**	**Q1 2022**	**change**
Sales revenue	**5,544,294**	**3,854,257**	**43.8%**
Cost of sales	(4,209,253)	(2,876,941)	46.3%
Gross profit on sales	**1,335,041**	**977,316**	**36.6%**
Other operating income	4,829	2,277	112.1%
Sales and marketing expenses	(930,065)	(680,629)	36.6%
General administration expenses	(32,012)	(33,831)	-5.4%
Other operating expenses	(2,097)	(2,279)	-8.0%
Operating profit	**375,696**	**262,854**	**42.9%**
Financial income	964	460	109.6%
Financial expenses	(42,709)	(28,199)	51.5%
Profit before tax	**333,951**	**235,115**	**42.0%**
Income tax	(63,297)	(43,740)	44.7%
Net profit	**270,654**	**191,375**	**41.4%**

In Q1 2023 profit measured by EBITDA grew year on year by 37.7% to PLN 458.2 million. The EBITDA margin was 8.3% versus the 8.6% margin posted one year ago.

The following table presents EBITDA.

(PLN 000s)	**Q1 2023**	**Q1 2022**	**change**
Net profit	**270,654**	**191,375**	**41.4%**
Income tax	63,297	43,740	44.7%
Negative result on financing activity	41,745	27,739	50.5%
EBIT	**375,696**	**262,854**	**42.9%**
EBIT margin	6.78%	6.82%	-
Depreciation and amortization	82,508	69,961	17.9%
EBITDA	**458,204**	**332,815**	**37.7%**
EBITDA margin	8.26%	8.63%	-

Sales revenue

Significant top line improvement is the outcome of Dino's store network roll-out to open new stores and growing revenues in the current store network (like for like, LfL)[1]. LfL sales growth in Q1 2023 was 27.2%, following 20.4% growth in the corresponding period of 2022.

[1] *Stores are included in the calculation of LfL revenues starting from the 13th full month of their existence.*

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	Q1 2023	Q1 2022	2022	2021	2020
Inflation (deflation)	17.0	9.7	14.4	5.1	3.4
Food and beverage price inflation	22.9	8.7	15.4	3.2	4.7
Dino's LFL	**27.2**	**20.4**	**28.5**	**12.4**	**12.6**

Fresh products, including meat, cold cuts and poultry accounted for 42.0% of the Group's sales in Q1 2023.

The table below shows the structure of sales revenues by product in individual periods.

%	Q1 2023	Q1 2022
Fresh products	42.0	38.6
Other groceries*	46.2	48.9
Non-grocery products	11.8	12.5

** in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen food, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes*

Dino store network roll-out

In Q1 2023 Dino Polska S.A. opened 54 new stores. At the end of March 2023, the Dino network consisted of 2,210 stores with a total selling area of 869.4 thousand square meters (+18.0% yoy). One year ago in Q1 Dino Polska launched 66 stores.

The following table presents information on the Dino Polska's number of stores as at specified dates.

	as at 31 March		as at 31 December		
	2023	**2022**	**2022**	**2021**	**2020**
Number of new store openings in the quarter/year	54	66	344	343	255
Total number of stores	2,210	1,880	2,156	1,815	1,473
Total selling area (m^2)	869,417	736,694	847,817	710,433	573,489

Cost of sales

The cost of sales was 75.9% and 74.6% of revenue in Q1 2023 and Q1 2022, respectively. The cost of sales rose PLN 1,332.3 million, i.e. by 46.3% to PLN 4,209.3 million in Q1 2023 compared to PLN 2,876.9 million in Q1 2022, with a corresponding 43.8% increase of revenue. This growth was caused mainly by the Dino Group's growing business size in connection with the expansion of the Dino store network and rising sales in the current store network (LFL). It was also driven by higher prices to purchase merchandise.

Sales and marketing expenses

Sales and marketing expenses grew by PLN 249.4 million, i.e. 36.6% to PLN 930.1 million in Q1 2023 compared to PLN 680.6 million in Q1 2022. This growth was mainly driven by the Dino Group's growing business size and the related expansion of the current store network and rising LFL sales, thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing.

General administration expenses

General administration expenses fell PLN 1.8 million to PLN 32.0 million in Q1 2023 compared to PLN 33.8 million in Q1 2022.

Costs by nature

The following table presents costs by nature.

(PLN 000s)	Q1 2023	Q1 2022	change
Depreciation and amortization	82,508	69,961	17.9%
Consumption of materials and energy	564,641	316,745	78.3%
External services	142,277	122,346	16.3%
Taxes and fees	100,507	73,025	37.6%
Costs of employee benefits	638,939	487,024	31.2%
Other costs by nature	23,196	14,465	60.4%
Cost of goods and materials sold	3,637,867	2,514,493	44.7%
Total costs by nature, including:	**5,189,935**	**3,598,059**	**44.2%**
Items captured in cost of sales	4,209,253	2,876,941	46.3%
Items captured in sales and marketing expenses	930,065	680,629	36.6%
Items captured in general administration expenses	32,012	33,831	-5.4%
Movement in products	18,605	6,658	179.4%

Total costs by nature increased by PLN 1,591.9 million, or 44.2%, to PLN 5,189.9 million in Q1 2023, compared to PLN 3,598.1 million in Q1 2022, mainly as a result of higher: (i) cost of merchandise and materials sold (by PLN 1,123.4 million), (ii) consumption of materials and energy (by PLN 247.9 million) and (iii) costs of employee benefits (by PLN 151.9 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL).

The costs of employee benefits rose PLN 151.9 million, i.e. 31.2% to PLN 638.9 million in Q1 2023 compared to PLN 487.0 million in Q1 2022. This growth resulted primarily from the number of Dino Group employees rising from 33,422 as at 31 March 2022 to 38,089 as at 31 March 2023 in connection with the Dino Group’s expanding business size and the related expansion of the Dino store network and rising LFL sales in the current store network and from the higher average salary in the Dino Group.

Consumption of materials and energy increased by PLN 247.9 million, or 78.3%, to PLN 564.6 million in Q1 2023 compared to PLN 316.7 million in Q1 2022. This growth was caused by the Dino Group’s growing business size and the increase in the prices of materials and electricity.

External services, which comprised in particular transportation services, lease and tenancy services and maintenance services, increased by PLN 19.9 million, or 16.3%, to PLN 142.3 million in Q1 2023 compared to PLN 122.3 million in Q1 2022. This growth was caused by the Dino Group’s growing business size and the related expansion of the Dino store network and rising LFL sales in the current store network.

Financial expenses

The Dino Group’s financial expenses rose PLN 14.5 million, or 51.5%, to PLN 42.7 million in Q1 2023 compared to PLN 28.2 million in Q1 2022. This increase followed from higher interest rates.

Balance sheet – assets

The table below presents selected line items of the balance sheet.

(PLN 000s)	31.03.2023	31.12.2022	31.03.2022	Change 31.03.23 / 31.12.22	Change 31.03.23 / 31.03.22
Property, plant and equipment	6,235,892	6,070,032	5,171,712	2.7%	20.6%
Right-of-use assets	99,886	105,116	135,944	-5.0%	-26.5%
Intangible assets	94,562	94,737	97,071	-0.2%	-2.6%
Other non-financial assets (non-current)	0	0	0	-	-
Deferred tax assets	24,997	26,468	28,870	-5.6%	-13.4%
Total non-current assets	**6,455,337**	**6,296,353**	**5,433,597**	**2.5%**	**18.8%**
Inventories	2,018,844	1,978,778	1,477,535	2.0%	36.6%
Trade and other receivables	156,882	274,872	120,984	-42.9%	29.7%
Income tax receivables	0	0	0	-	-
Other non-financial assets	104,031	69,096	98,401	50.6%	5.7%
Other financial assets	1,370	1,242	1,330	10.3%	3.0%
Cash and cash equivalents	227,807	382,718	277,421	-40.5%	-17.9%
Total current assets	**2,508,934**	**2,706,706**	**1,975,671**	**-7.3%**	**27.0%**
TOTAL ASSETS	**8,964,271**	**9,003,059**	**7,409,268**	**-0.4%**	**21.0%**

Total assets dipped PLN 38.8 million, i.e. 0.4%, from PLN 9,003.1 million as at 31 December 2022 to PLN 8,964.3 million as at 31 March 2023. Compared to 31 March 2022, total assets rose by PLN 1,555.0 million, or 21.0%.

As at 31 March 2023, the main components of total assets were: (i) property, plant and equipment (constituting 69.6%), (ii) inventories (constituting 22.5%) and (iii) cash and cash equivalents (constituting 2.5%).

Non-current assets edged up PLN 159.0 million, i.e. 2.5%, from PLN 6,296.4 million as at 31 December 2022 to PLN 6,455.3 million as at 31 March 2023. Compared to 31 March 2022, total assets rose by PLN 1,021.7 million, or 18.8%. In both cases this growth was caused by higher property, plant and equipment which, in turn, was caused primarily by Dino's network rollout and capital expenditures.

Current assets fell PLN 197.8 million, i.e. 7.3% from PLN 2,706.7 million as at 31 December 2022 to PLN 2,508.9 million as at 31 March 2023. This decline was caused by cash and cash equivalents falling by PLN 154.9 million and by trade and other receivables falling by PLN 118.0 million.

Compared to 31 March 2022, current assets increased by PLN 533.3 million, i.e. 27.0%, primarily as a result of higher inventories (up PLN 541.3 million) due to the Dino Group's expanding business size.

Balance sheet – liabilities and equity

The table below presents selected line items of the balance sheet.

(PLN 000s)	31.03.2023	31.12.2022	31.03.2022	Change 31.03.23 / 31.12.22	Change 31.03.23 / 31.03.22
Share capital	9,804	9,804	9,804	0.0%	0.0%
Supplementary capital	3,512,022	3,512,022	2,707,720	0.0%	29.7%
Retained earnings	945,111	674,457	536,541	40.1%	76.1%
Other equity	7,500	7,500	7,500	0.0%	0.0%
Total equity	**4,474,437**	**4,203,783**	**3,261,565**	**6.4%**	**37.2%**
Interest-bearing loans and borrowings	658,915	690,862	797,823	-4.6%	-17.4%
Lease liabilities (LT)	31,738	34,673	43,073	-8.5%	-26.3%
Other liabilities	120	120	120	0.0%	0.0%
Liabilities by virtue of outstanding securities (LT)	370,000	370,000	450,000	0.0%	-17.8%
Provisions for employee benefits	5,794	5,794	4,827	0.0%	20.0%
Deferred tax liability	41,771	7,700	22,008	442.5%	89.8%
Accruals and deferred revenue (LT)	0	0	3	-	-100.0%
Total non-current liabilities	**1,108,338**	**1,109,149**	**1,317,854**	**-0.1%**	**-15.9%**
Trade and other payables	2,501,212	2,794,077	2,170,329	-10.5%	15.2%
Current part of interest-bearing loans and borrowings	400,775	410,157	306,510	-2.3%	30.8%
Lease liabilities (ST)	16,236	17,893	25,485	-9.3%	-36.3%
Liabilities by virtue of outstanding securities (ST)	260,235	260,947	173,951	-0.3%	49.6%
Income tax liabilities	105,035	120,034	78,719	-12.5%	33.4%
Accruals and deferred revenue (ST)	97,038	86,054	72,911	12.8%	33.1%
Provisions for employee benefits and other provisions	965	965	1,944	0.0%	-50.4%
Total current liabilities	**3,381,496**	**3,690,127**	**2,829,849**	**-8.4%**	**19.5%**
Total liabilities	**4,489,834**	**4,799,276**	**4,147,703**	**-6.4%**	**8.2%**
TOTAL EQUITY AND LIABILITIES	**8,964,271**	**9,003,059**	**7,409,268**	**-0.4%**	**21.0%**

As at 31 March 2023, the main components of liabilities were: (i) trade and other payables representing 55.7%; (ii) interest-bearing loans and borrowings (non-current) representing 14.7% and (iii) interest-bearing loans and borrowings (current) representing 8.9%.

Total liabilities fell by PLN 309.4 million, i.e. 8.4%, from PLN 4,799.3 million as at 31 December 2022 to PLN 4,489.8 million as at 31 March 2023. Total liabilities rose by PLN 342.1 million, or 8.2% from PLN 4,147.7 million as at 31 March 2022 to PLN 4,489.8 million as at 31 March 2023.

Non-current liabilities dipped PLN 0.8 million, i.e. 0.1%, from PLN 1,109.1 million as at 31 December 2022 to PLN 1,108.3 million as at 31 March 2023. Compared to 31 March 2022, non-current liabilities fell PLN 209.5 million, or 15.9%, mainly due to the lower amount of interest-bearing loans.

Current liabilities decreased by PLN 308.6 million, or 8.4%, from PLN 3,690.1 million as at 31 December 2022 to PLN 3,381.5 million, primarily as a result of a decrease in trade and other payables.

The Dino Group's net debt[2] stood at PLN 1,510.1 million as at 31 March 2023, signifying growth of PLN 108.3 million compared to 31 December 2022 and a decline of PLN 9.3 million compared to 31 March 2022. The net debt to EBITDA ratio for the last 12 months was 0.77x as at 31 March 2023. As at 31 March 2022 it was 1.12x.

[2] *Defined as interest-bearing loans and borrowings and liabilities under lease agreements + liabilities by virtue of outstanding securities + current part of interest-bearing loans and borrowings and lease liabilities minus cash and cash equivalents.*

Cash flows

The table below presents selected line items of the statement of cash flows.

(PLN 000s)	Q1 2023	Q1 2022	change
Net cash from operating activities, including:	243,284	(97,836)	-
profit before tax	333,951	235,115	42.0%
depreciation and amortization	82,508	69,961	17.9%
movement in working capital	(116,838)	(375,429)	-68.9%
other	(56,337)	(27,483)	105.0%
Net cash from investing activities	(309,675)	(335,368)	-7.7%
Net cash from financing activities	(88,520)	292,010	-
Net increase in cash and cash equivalents	(154,911)	(141,194)	9.7%

Net cash flow from operating activities in Q1 2023 totaled PLN 243.3 million. In Q1 2022 it was negative and equal to PLN (97.8) million. Net cash flow from investing activities totaled PLN (309.7) million in Q1 2023, while it was PLN (335.4) million one year ago. The predominant portion of capital expenditures was incurred for the geographic expansion of the Dino store network and partially for the construction of the Company's eighth distribution center in the community of Kaliska in the Kujawy and Pomeranian voivodship. It was launched in Q2 2023.

2.1.3. Factors impacting Dino's operations and results

In the opinion of the Dino Management Board, the following factors will affect the Dino Group's business in the upcoming quarters of 2023:

- the pace of new store openings by Dino Polska and the related capital expenditures, which may be adversely affected by the high level of inflation in the construction sector and the high costs of financial debt; the Management Board's priorities in subsequent quarters span the conduct of restrictively selecting sites for new Dino stores to keep the inflation in the costs of store construction at the lowest possible level while simultaneously limiting the usage of debt financing; the Company's Management Board expects that in 2023 the total number of Dino stores will grow by a percentage in the low double digits versus the store count at the end of 2022;
- rising prices of consumer goods and services, which in the event of an excessively high pace of growth may adversely affect the purchasing power of consumers and their willingness to spend money, and as a result on sales in Dino stores;
- macroeconomic situation in Poland, also accompanied by the minimum wage hike and the operation of social programs protecting consumers' disposable income and spending on consumption in the face of strong food price inflation;
- rising prices of agricultural commodities and rising costs of producing food, and hence to higher prices for the products store networks buy from food producers; moreover, high inflation also affects the operating expenses of the Dino Polska Group and in total the aforementioned factors may exert pressure on the Group's profitability;
- the high pace of growth in the Company's business size, which should translate into improved efficiency of the Company's operations, benefits resulting from economies of scale and optimization of operating expenses, as well as improved efficiency of logistics services provided to the stores.

One special factor that may affect Dino Polska's business in 2023 is the war in Ukraine. Although Dino Polska does not operate outside Poland and it does not procure products in Russia while products from Ukraine represent a small portion of sales, and therefore, on the Report Date, it has not identified a direct material impact exerted by the war on the Company's business, one cannot preclude that as a result of escalation of the military conflict, its impact on Ukraine's economy and due to the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural products and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs. These costs may subsequently be passed on to store networks and that may also generally contribute to even higher operating expenses among food producers and distributors. The possible impact of a military conflict in a country neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples. In turn, the influx of refugees from Ukraine to Poland and the favorable price attribute of products offered in Dino stores may lead to higher consumer demand for these products. To counteract the risks related to the war in Ukraine Dino Polska takes initiatives focused on enlarging the group of food producers with which it cooperates and on strengthening relations with suppliers. To ensure greater product availability in Dino stores the Company strives to maintain high levels of inventories in its distribution centers. Concurrently, to ensure that Dino stores are attractive to consumers, and thereby to sustain the favorable growth rate in revenue, the prices of several hundred key products are regularly checked and set at a competitive level in respect of discount networks.

Due to uncertainty about future economic conditions, the Management Board's expectations and projections are subject to a high dose of uncertainty.

2.2. Shareholders of the Company and shares held by management board and supervisory board members

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino shares.

Shareholding structure of DINO POLSKA S.A. as at the Report Date

	Number of shares and number of votes at the Shareholder Meeting	Percentage of share capital and votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary[3]	50,160,000	51.16%
Other shareholders	47,880,000	48.84%

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member held 30,000 shares in the Company as at the Report Date. Compared to the publication date of the 2022 annual report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the 2022 report). Piotr Ścigała, a Management Board Member, did not hold any shares in the Company as at the Report Date or as at the publication date of the 2022 report. The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 32,154 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of Dino Polska shares held by the Company's Supervisory Board members has not changed since the date of conveying the 2022 report.

2.3. Operating Segments

The DINO POLSKA S.A. Group runs its operations in one business sector and has one operating and reporting segment in the form of sales in a retail store network. Its revenues may be broken down by type of product or merchandise or product group. However, the Management Board does not measure detailed operating results generated by any of such categories, which means that it would be problematic to ascertain the unambiguous

[3] *BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds 160 thousand Company shares.*

impact of the allocation of resources on each category. As such, information on revenues generated in each category is of a limited decision-making value. Because the smallest area of business for which the Management Board reviews profitability ratios is the level of the DINO POLSKA S.A. Group as a whole, only one operating segment has been distinguished.

(PLN 000s)	***Q1 2023***	***Q1 2022***
Revenue on sales of products and services	665,297	422,332
Revenue on sales of goods and materials	4,878,997	3,431,925
Total	**5,544,294**	**3,854,257**

3. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS OF THE DINO POLSKA S.A. GROUP

3.1. Condensed consolidated statement of profit or loss

for the period from 1 January 2023 to 31 March 2023

(in thousands of PLN)	***01.01.2023-31.03.2023***	***01.01.2022-31.03.2022***
Sales revenue	5,544,294	3,854,257
Cost of sales	(4,209,253)	(2,876,941)
Gross profit on sales	**1,335,041**	**977,316**
Other operating income	4,829	2,277
Sales and marketing expenses	(930,065)	(680,629)
General administration expenses	(32,012)	(33,831)
Other operating expenses	(2,097)	(2,279)
Operating profit	**375,696**	**262,854**
Financial income	964	460
Financial expenses	(42,709)	(28,199)
Profit before tax	**333,951**	**235,115**
Income tax	(63,297)	(43,740)
Net profit	**270,654**	**191,375**
Profit attributable:		
To owners of the parent	270,654	191,375
Earnings per share:		
– basic earnings from profit attributable to owners of the parent	2.76	1.95
– basic earnings from profit from continuing operations attributable to owners of the parent	2.76	1.95
– diluted earnings from profit attributable to owners of the parent	2.76	1.95
– diluted earnings from profit from continuing operations attributable to owners of the parent	2.76	1.95

3.2. Condensed consolidated statement of comprehensive income

for the period from 1 January 2023 to 31 March 2023

(in thousands of PLN)	*01.01.2023-31.03.2023*	*01.01.2022-31.03.2022*
Net profit for the reporting period	**270,654**	**191,375**
Items not subject to reclassification to profit in subsequent reporting periods:		
Net other comprehensive income not subject to reclassification to profit/(loss) in subsequent reporting periods	**-**	**-**
Net other comprehensive income	**-**	**-**
Comprehensive income in the reporting period	**270,654**	**191,375**
Comprehensive income attributable:		
To owners of the parent	**270,654**	**191,375**
Non-controlling shareholders	**-**	**-**
	270,654	**191,375**

3.3. Condensed consolidated statement of financial position

as at 31 March 2023

(in thousands of PLN)	*31.03.2023*	*31.12.2022*	*31.03.2022*
ASSETS			
Property, plant and equipment	6,235,892	6,070,032	5,171,712
Right-of-use assets	99,886	105,116	135,944
Intangible assets	94,562	94,737	97,071
Other non-financial assets	-	-	-
Deferred tax assets	24,997	26,468	28,870
Total non-current assets	**6,455,337**	**6,296,353**	**5,433,597**
Inventories	2,018,844	1,978,778	1,477,535
Trade and other receivables	156,882	274,872	120,984
Income tax receivables	-	-	-
Other non-financial assets	104,031	69,096	98,401
Other financial assets	1,370	1,242	1,330
Cash and cash equivalents	227,807	382,718	277,421
Total current assets	**2,508,934**	**2,706,706**	**1,975,671**
TOTAL ASSETS	**8,964,271**	**9,003,059**	**7,409,268**
EQUITY AND LIABILITIES			
Equity (attributable to owners of the parent)	**4,474,437**	**4,203,783**	**3,261,565**
Share capital	9,804	9,804	9,804
Supplementary capital	3,512,022	3,512,022	2,707,720
Retained earnings	945,111	674,457	536,541
Other equity	7,500	7,500	7,500
Non-controlling interests	-	-	-
Total equity	**4,474,437**	**4,203,783**	**3,261,565**
Interest-bearing loans and borrowings	658,915	690,862	797,823
Lease liabilities	31,738	34,673	43,073
Liabilities by virtue of outstanding securities	370,000	370,000	450,000
Other liabilities	120	120	120
Provisions for employee benefits	5,794	5,794	4,827
Deferred tax liability	41,771	7,700	22,008
Accruals and deferred revenue	-	-	3
Total non-current liabilities	**1,108,338**	**1,109,149**	**1,317,854**
Trade and other payables	2,501,212	2,794,077	2,170,329
Current part of interest-bearing loans and borrowings	400,775	410,157	306,510
Lease liabilities	16,236	17,893	25,485
Liabilities by virtue of outstanding securities	260,235	260,947	173,951
Income tax liabilities	105,035	120,034	78,719
Accruals and deferred revenue	97,038	86,054	72,911
Provisions for employee benefits	965	965	1,944
Total current liabilities	**3,381,496**	**3,690,127**	**2,829,849**
Total liabilities	**4,489,834**	**4,799,276**	**4,147,703**
TOTAL EQUITY AND LIABILITIES	**8,964,271**	**9,003,059**	**7,409,268**

3.4. Condensed consolidated statement of cash flows

for the period from 1 January 2023 to 31 March 2023

(in thousands of PLN)	***01.01.2023-31.03.2023***	***01.01.2022-31.03.2022***
Cash flow from operating activities		
Profit before tax	*333,951*	*235,115*
Adjustments for the line items:	*(90,667)*	*(332,951)*
Depreciation and amortization	82,508	69,961
(Profit)/loss on investment activity	1,657	1,473
Movement in trade receivables and other receivables	151,640	9,798
Movement in inventories	(40,066)	(104,072)
Movement in liabilities, except for loans and borrowings	(228,412)	(281,155)
Interest revenue	(852)	(460)
Interest expense	42,666	27,730
Movement in prepayments, accruals and deferred revenue	(57,055)	(18,310)
Movement in provisions	-	-
Income tax paid	(42,753)	(37,916)
Net cash from operating activities	**243,284**	**(97,836)**
Cash flow from investing activities		
Sale of property, plant and equipment and intangible assets	595	178
Purchase of property, plant and equipment and intangible assets	(310,994)	(336,003)
Interest received	852	460
Repayment of extended borrowings	447	382
Granting of loans	(575)	(385)
Net cash from investing activities	**(309,675)**	**(335,368)**
Cash flow from financing activities		
Payment of lease liabilities	(5,237)	(5,410)
Proceeds from obtained loans/borrowings	46,011	384,707
Repayment of loans/borrowings	(87,340)	(59,556)
Issue of debt securities	-	-
Redemption of debt securities	-	-
Interest paid	(41,954)	(27,731)
Net cash from financing activities	**(88,520)**	**292,010**
Net increase in cash and cash equivalents	(154,911)	(141,194)
Cash at the beginning of the period	**382,718**	**418,615**
Cash at the end of the period	**227,807**	**277,421**

3.5. Condensed consolidated statement of changes in equity

for the period from 1 January 2023 to 31 March 2023

(in thousands of PLN)	*Attributable to owners of the parent*				
	Share capital	*Supplementary capital*	*Retained earnings*	*Other equity*	*Total*
As at 1 January 2022	**9,804**	**2,707,720**	**345,166**	**7,500**	**3,070,190**
Net profit for 2022	-	-	191,375	-	191,375
Net other comprehensive income for 2022	-	-	-	-	-
Comprehensive income for the year	-	-	*191,375*	-	*191,375*
As at 31 March 2022	**9,804**	**2,707,720**	**536,541**	**7,500**	**3,261,565**
As at 1 January 2022	**9,804**	**2,707,720**	**345,166**	**7,500**	**3,070,190**
Net profit for 2022	-	-	1,132,087	-	1,132,087
Net other comprehensive income for 2022	-	-	1,506	-	1,506
Comprehensive income for the year	-	-	*1,133,593*	-	*1,133,593*
Distribution of the 2021 financial result	-	804,302	(804,302)	-	-
As at 31 December 2022	**9,804**	**3,512,022**	**674,457**	**7,500**	**4,203,783**
As at 1 January 2023	**9,804**	**3,512,022**	**674,457**	**7,500**	**4,203,783**
Net profit for 2023	-	-	270,654	-	270,654
Net other comprehensive income for 2023	-	-	-	-	-
Comprehensive income for the year	-	-	*270,654*	-	*270,654*
As at 31 March 2023	**9,804**	**3,512,022**	**945,111**	**7,500**	**4,474,437**

4. CONDENSED STANDALONE FINANCIAL STATEMENTS OF DINO POLSKA S.A.

4.1. Selected standalone financial data

	PLN 000s		EUR 000s*	
	01.01.2023-31.03.2023	*01.01.2022-31.03.2022*	*01.01.2023-31.03.2023*	*01.01.2022-31.03.2022*
Sales revenue	5,539,974	3,845,271	1,178,592	827,438
Operating profit	312,616	203,874	66,507	43,870
Profit before tax	275,072	175,276	58,520	37,716
Net profit	222,920	141,960	47,425	30,547
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	2.27	1.45	0.48	0.31
Cash flow from operating activities	194,581	(176,140)	41,396	(37,902)
Cash flow from investing activities	(262,882)	(136,132)	(55,926)	(29,293)
Cash flow from financing activities	(81,189)	172,535	(17,272)	37,127
Net change in cash and cash equivalents	(149,490)	(139,737)	(31,888)	(30,069)

In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period were used:

- average NBP exchange rate for Q1 2023: 4.7005
- average NBP exchange rate for Q1 2022: 4.6472

	PLN 000s		EUR 000s*	
	31.03.2023	*31.12.2022*	*31.03.2023*	*31.12.2022*
Total assets	8,234,765	8,301,811	1,761,259	1,770,147
Total non-current assets	5,598,023	5,454,529	1,197,310	1,163,037
Total current assets	2,636,742	2,847,282	563,949	607,109
Equity	3,424,930	3,202,010	732,527	682,746
Share capital	9,804	9,804	2,097	2,090
Non-current liabilities	894,336	911,067	191,281	194,261
Current liabilities	3,690,964	4,011,985	789,427	855,452

* In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 March 2023: 4.6755
- NBP's average exchange rate as at 31 December 2022: 4.6899

4.2. Condensed standalone statement of profit or loss

for the period from 1 January 2023 to 31 March 2023

(in thousands of PLN)	*01.01.2023-31.03.2023*	*01.01.2022-31.03.2022*
A. Net revenues on sales and equivalents	**5,539,974**	**3,845,271**
I. Net revenue on sales of products	32,051	11,833
IV. Net revenue on sales of goods and materials	5,507,923	3,833,438
B. Operating expenses	**5,229,639**	**3,640,563**
I. Depreciation and amortization	64,943	53,642
II. Consumption of materials and energy	120,753	70,433
III. External services	204,012	164,468
IV. Taxes and fees	96,111	69,108
V. Employee benefits	478,230	363,478
VI. Social security and other benefits	110,029	84,008
VII. Other costs by nature	22,855	14,178
VIII. Cost of goods and materials sold	4,132,706	2,821,248
C. Sales profit (loss) (A – B)	**310,335**	**204,708**
D. Other operating income	4,374	1,831
E. Other operating expenses	2,093	2,665
F. Operating profit (loss) (C+D-E)	**312,616**	**203,874**
G. Financial income	5,948	425
H. Financial expenses	43,492	29,023
I. Profit / (loss) before tax (F + G - H)	**275,072**	**175,276**
J. Income tax	52,152	33,316
K. Other compulsory reductions in profit (increases in losses)	-	-
L. Net profit (loss) (I – J – K)	**222,920**	**141,960**

4.3. Condensed standalone balance sheet

as at 31 March 2023

(in thousands of PLN)	*31.03.2023*	*31.12.2022*	*31.03.2022*
Assets			
A. Non-current assets	**5,598,023**	**5,454,529**	**4,722,712**
I. Intangible assets	18,164	18,880	21,520
II. Property, plant and equipment	4,730,322	4,590,202	3,876,330
III. Non-current receivables	-	-	-
IV. Non-current investments	755,831	755,831	755,831
V. Non-current prepayments and accruals	93,706	89,616	69,031
B. Current assets	**2,636,742**	**2,847,282**	**1,872,027**
I. Inventories	1,925,670	1,918,269	1,434,604
II. Current receivables	186,219	335,969	167,383
III. Current investments	466,580	587,673	244,358
IV. Current prepayments and accruals	58,273	5,371	25,682
C. Contributions due to share capital	-	-	-
D. Treasury stock	-	-	-
Total assets	**8,234,765**	**8,301,811**	**6,594,739**

(in thousands of PLN)	*31.03.2023*	*31.12.2022*	*31.03.2022*
Equity and liabilities			
A. Equity	**3,424,930**	**3,202,010**	**2,449,384**
I. Share capital	9,804	9,804	9,804
II. Supplementary capital	2,267,272	2,267,272	1,676,055
III. Revaluation reserve (fund)	-	-	-
IV. Other reserve capital	-	-	-
V. Profit (loss) brought forward	894,586	-	591,217
VI. Net profit (loss)	222,920	894,586	141,960
VII. Other items of equity	30,348	30,348	30,348
VIII. Charges to net profit during the financial year (negative figure)	-	-	-
B. Liabilities and provisions for liabilities	**4,809,835**	**5,099,801**	**4,145,355**
I. Provisions for liabilities	137,575	98,665	92,709
II. Non-current liabilities	894,336	911,067	1,015,643
III. Current liabilities	3,690,964	4,011,985	2,972,194
IV. Accruals and deferred revenue	86,960	78,084	64,809
Total liabilities and equity	**8,234,765**	**8,301,811**	**6,594,739**

4.4. Condensed standalone statement of cash flows

for the period from 1 January 2021 to 31 March 2023

(in thousands of PLN)	*01.01.2023-31.03.2023*	*01.01.2022-31.03.2022*
A. Cash flow from operating activities		
I. Net profit (loss)	**222,920**	**141,960**
II. Total adjustments	**(28,339)**	**(318,100)**
1. Depreciation and amortization	64,943	53,642
2. Gains (losses) arising from changes in foreign currency exchange rates	-	-
3. Interest and profit sharing (dividends)	90,054	26,066
4. Profit (loss) on investing activity	1,664	2,070
5. Movement in provisions	38,910	25,055
6. Movement in inventories	(7,401)	(90,301)
7. Movement in receivables	149,604	13,623
8. Movement in current liabilities, except for loans and borrowings	(317,997)	(334,083)
9. Movement in prepayments, accruals and deferred revenue	(48,116)	(14,172)
III. Net cash flow from operating activities (I±II)	**194,581**	**(176,140)**
B. Cash flow from investing activities		
I. Inflows	**6,287**	**170,823**
1. Sale of intangible assets and property, plant and equipment	526	18,402
2. Sale of investments in real property and intangible assets	-	-
3. From financial assets, of which:	5,761	152,421
a) in related entities	5,545	152,266
b) in other entities	216	155
- interest	216	155
II. Outflows	**(269,169)**	**(306,955)**
1. Purchase of intangible assets and property, plant and equipment	(239,124)	(305,922)
2. Investments in real property and intangible assets	-	-
3. Towards financial assets, of which:	(30,045)	(1,033)
a) in related entities	(30,045)	(1,033)
III. Net cash flow from investing activities (I-II)	**(262,882)**	**(136,132)**
C. Cash flow from financing activities		
I. Inflows	**46,011**	**247,707**
1. Net inflows on the delivery of shares (share issue) and other equity instruments and capital contributions	-	-
2. Loans and borrowings	46,011	247,707
3. Issue of debt securities	-	-
4. Other financial proceeds	-	-
II. Outflows	**(127,200)**	**(75,172)**
1. Purchase of treasury shares	-	-
2. Dividends and other distributions to owners	-	-
3. Profit-sharing expenditures other than distributions to owners	-	-
4. Repayment of loans and borrowings	(61,272)	(45,049)
5. Redemption of debt securities	-	-
6. On account of other financial liabilities	-	-
7. Payment of finance lease liabilities	(1,022)	(1,555)
8. Interest	(41,189)	(26,952)
9. Other financial expenditures	(23,717)	(1,616)
III. Net cash from financing activities (I-II)	**(81,189)**	**172,535**
D. Total net cash flow (A.III±B.III±C.III)	**(149,490)**	**(139,737)**
E. Balance sheet movement in cash, including	**(149,490)**	**(139,737)**
- movement in cash arising from changes in foreign currency exchange rates	-	-
F. Cash at the beginning of the period	**342,029**	**380,269**
G. Cash at the end of the period (F±D), including	**192,539**	**240,532**
- restricted cash	17	1,347

4.5. Condensed standalone statement of changes in equity

for the period from 1 January 2023 to 31 March 2023

(in thousands of PLN)	*01.01.2023-31.03.2023*	*01.01.2022-31.12.2022*	*01.01.2022-31.03.2022*
I. Equity at the beginning of the period (OB)	**3,202,010**	**2,307,424**	**2,307,424**
I.a. Equity at the beginning of the period (OB), adjusted	**3,202,010**	**2,307,424**	**2,307,424**
1. Share capital at the beginning of the period	9,804	9,804	9,804
1.1. Movement in share capital	-	-	-
1.2. Share capital at the end of the period	**9,804**	**9,804**	**9,804**
2. Supplementary capital at the beginning of the period	2,267,272	1,676,055	1,676,055
2.1. Changes to supplementary capital	-	591,217	-
(i) increase	-	591,217	-
- profit distribution	-	591,217	-
b) decrease	-	-	-
2.2. Balance of supplementary capital at the end of the period	**2,267,272**	**2,267,272**	**1,676,055**
3. Revaluation reserve at the beginning of the period	-	-	-
3.1. Changes in the revaluation reserve	-	-	-
3.2. Revaluation reserve at the end of the period	**-**	**-**	**-**
4. Other reserve capital at the beginning of the period	-	-	-
4.1. Change in other reserve capital	-	-	-
4.2. Other reserve capital at the end of the period	**-**	**-**	**-**
5. Profit (loss) brought forward at the beginning of the period	894,586	591,217	591,217
5.1. Profit brought forward at the beginning of the period	894,586	591,217	591,217
5.2. Profit brought forward at the beginning of the period, adjusted	894,586	591,217	591,217
(i) increase	-	-	-
b) decrease	-	(591,217)	-
- profit distribution - transfer to supplementary capital	-	(591,217)	-
5.3. Profit brought forward at the end of the period	894,586	-	591,217
5.4. Loss brought forward at the beginning of the period	-	-	-
5.5. Loss brought forward at the beginning of the period, adjusted	-	-	-
(i) increase	-	-	-
b) decrease	-	-	-
5.6. Losses brought forward at the end of the period	-	-	-
5.7. Profit (loss) brought forward at the end of the period	**894,586**	**-**	**591,217**
6. Net result	**222,920**	**894,586**	**141,960**
a) net profit	222,920	894,586	141,960
b) net loss	-	-	-
c) charges to profit	-	-	-
7. Other items of equity at the beginning of the period	30,348	30,348	30,348
7.1 Change in other items of equity	-	-	-
7. Other items of equity at the end of the period	**30,348**	**30,348**	**30,348**
8. Charges to net profit during the financial year (negative figure)	**-**	**-**	**-**
II. Equity at the end of the period (CB)	**3,424,930**	**3,202,010**	**2,449,384**
III. Equity after considering the proposed distribution of profits (coverage of losses)	**3,424,930**	**3,202,010**	**2,449,384**

5. NOTES TO THE FINANCIAL STATEMENTS

5.1. General rules adopted for the preparation of the interim quarterly statements

Consolidated statements

The presented interim (quarterly) condensed consolidated financial statements were prepared:

- in accordance with International Accounting Standard 34 – Interim Financial Reporting and International Financial Reporting Standards (hereinafter "IFRS") published in the Commission Regulation (EC) no. 1725/2003 of 29 September 2003, as amended,
- to the extent not regulated by the above standards according to the requirements of the Accounting Act of 29 September 1994 (Journal of Laws of 2023, Item 120) and the executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the consolidated financial statements for the year 2022. These interim (quarterly) condensed consolidated financial statements have been prepared based on the assumption that the Group companies will continue as a going concern in the foreseeable future. The interim (condensed) consolidated financial statements for the period from 1 January 2023 to 31 March 2023 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

Standalone financial statements

The presented interim (quarterly) condensed standalone financial statements were prepared according to the following:

- provisions of the Accounting Act of 29 September 1994 (Journal of Laws of 2023, Item 120) and the executive regulations issued on its basis,
- pursuant to the requirements set forth in the Finance Minister's Regulation of 19 February 2009 on the current and periodic information transmitted by securities issuers (Journal of Laws of 2009, No. 33 Item 259).

The accounting policies are the same as those used to prepare the standalone financial statements for the year 2022.

These interim (quarterly) standalone financial statements have been prepared with the assumption that the Company will continue its business as a going concern in the foreseeable future.

The interim (condensed) standalone financial statements for the period from 1 January 2023 to 31 March 2023 were prepared in Polish zloty, rounded to one thousand zloty (unless otherwise stated).

The differences in the value of the disclosed data and the material differences pertaining to the accepted accounting standards (policies) between the financial statements drawn up in accordance with Polish Accounting Standards and the financial statements drawn up according to IFRS

The Company is the Group's parent company, which has an obligation to prepare consolidated financial statements according to the IFRS standards endorsed by the EU. The Group in which the Company is the parent company prepared its first annual consolidated financial statements compliant with IFRS endorsed by the EU for the financial year ended 31 December 2013. The Group selected 1 January 2013 as the date of transition to IFRS.

The Company's date of transition to IFRS cannot be determined definitively because the Company has not made a decision on that date, hor has it prepared its first financial statements compliant with IFRS endorsed by the EU. Had the financial statements been prepared in accordance with IFRS, the main differences between the accounting standards accepted for the attached financial statements and IFRS, under the assumption that the date of transition to IFRS is 1 January 2013, would pertain in particular to the following areas:

- determination of the residual value of fixed assets,
- separation of components and determination of depreciation charges for the actual periods of use,
- retraction of the calculated depreciation charges for trademarks as of the date of the Group's transition to IFRS,
- recognition of fixed assets and lease liabilities under IFRS16.

The presentation of some lines items of the financial statements may differ between Polish Accounting Standards and IFRS. The differences in presentation do not affect the Company's equity and net result. The components of the various line items of the financial statements and the scope of additional information to the financial statements according to the Polish Accounting Standards and IFRS may differ to a material degree.

Table depicting the effects of the disclosed differences in net profit and equity:

	31.03.2023
Equity according to PAS	**3,424,930**
Adjusted depreciation and amortization on account of residual value	1,431
Adjusted depreciation and amortization on account of the separation of components	(7,883)
Adjustment - amortization of trademarks	8,791
Adjustment - lease of fixed assets (IFRS 16)	(7,587)
Equity according to IFRS	**3,419,682**
Net profit according to PAS	**222,920**
Adjusted depreciation and amortization on account of residual value	108
Adjusted depreciation and amortization on account of the separation of components	(801)
Adjustment - amortization of trademarks	781
Adjustment - lease of fixed assets (IFRS 16)	498
Actuarial gains/losses pertaining to employee benefits	-
Net profit according to IFRS	**223,506**
Other comprehensive income	-

The identification and measurement of these differences require the preparation of estimates and assumptions that do affect the disclosed figures. Even though the accepted assumptions and estimates are based on the Company's best knowledge, the actual figures may vary from the anticipated figures. This note identifying the major areas of difference between Polish Accounting Standards and IFRS has been drawn up on the basis of IFRS in force as at 31 March 2023 and under the assumption that the date for transition to IFRS is 1 January 2013. Since work is still in progress on more standards and amending the current standards it is possible that the standards according to which the Company will prepare its first financial statements complying with IFRS will differ from the standards applicable to the preparation of this note. The assumption concerning the date as of which the values of assets and liabilities would be determined in the Company's financial statements complying with IFRS stems from the option for the Management Board to utilize the exemption contemplated by paragraph 24 of IFRS 1, according to which the Company may accept the values carried in the parent company's consolidated financial statements compliant with IFRS on the basis of the parent company's date of transition to IFRS, i.e. 1 January 2013; however, the Company's Management Board may in any event alter that decision and it may accept its own date for the transition to applying IFRS.

Moreover, according to IFRS, only complete financial statements containing a balance sheet, a statement of comprehensive income and/or a statement of profit or loss, a statement of changes in equity, a statement of cash flows with comparable data and notes may accurately present financial standing, business results and cash flow according to IFRS.

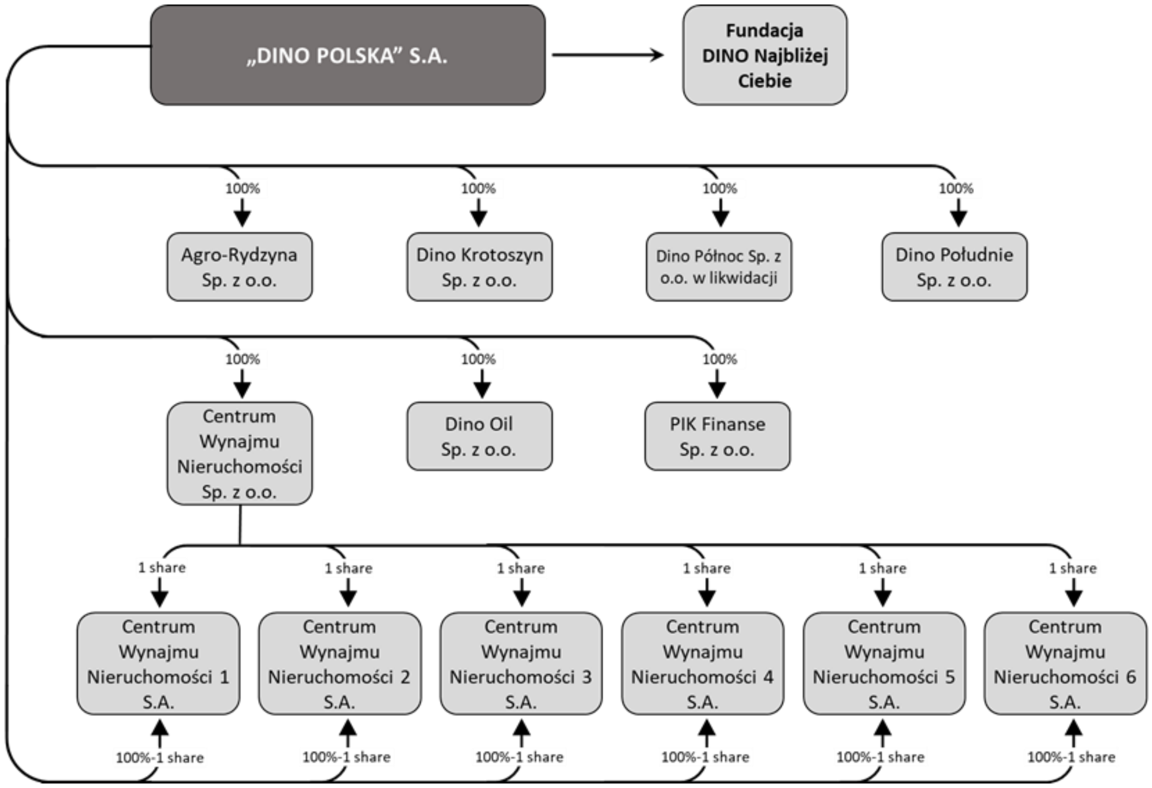
5.2. Group Overview

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, the selection of the product range offered in the stores and it supports other subsidiaries (Real Estate Lease Centers) in the execution of investment processes related to securing new sites and building new stores. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

Dino Polska is run by a three-person Management Board in the following composition: Izabela Biadała, Chief Operating and Administrative Officer and Management Board Member, Michał Krauze, Chief Financial Officer and Management Board Member and Piotr Ścigała, Chief Control Officer and Management Board Member.

The Company's Supervisory Board functions in a five-person composition (Tomasz Biernacki – Chairman and members: Eryk Bajer, Sławomir Jakszuk, Piotr Nowjalis and Maciej Polanowski).

The Group consists of DINO POLSKA S.A. and the following subsidiaries:



In Q1 2023 there were no major changes to the organization of the Dino Polska Group.

5.3. Seasonality and business cycles

Sales revenues and financial results reported in individual quarters reflect the seasonality of sales. The Group posts increased sales revenues in the period close to holidays and in the summer. Moreover, Dino Group's revenues also depend on the number of store openings, which in the winter, especially in the first quarter of the year, is lower than in the remaining quarters of the year, in particular lower than in Q3 and Q4, because of the weather conditions hindering construction work.

5.4. Other information

Non-recurring amounts and events

No atypical events affecting Dino Polska's financial statements transpired in the period from 1 January 2023 to 31 March 2023.

Impairment losses

In the period covered by this report, the Group did not recognize any impairment losses for inventories.

Consolidated financial data
for the period from 1 January 2023 to 31 March 2023

(PLN 000s)	***31.03.2023***	***31.12.2022***	***Change***
Impairment losses on receivables	1,600	1,600	-

Unconsolidated financial data
for the period from 1 January 2023 to 31 March 2023

(PLN 000s)	***31.03.2023***	***31.12.2022***	***Change***
Impairment losses on receivables	1,534	1,534	-

Information on the recognition, increase, use and reversal of provisions

Consolidated financial data
for the period from 1 January 2023 to 31 March 2023

(PLN 000s)	***31.03.2023***	***31.12.2022***	***Change***
Deferred tax liability	41,771	7,700	34,071
Provision for pension and similar benefits	6,759	6,759	-
	48,530	**14,459**	**34,071**

Unconsolidated financial data
for the period from 1 January 2023 to 31 March 2023

(PLN 000s)	***31.03.2023***	***31.12.2022***	
Deferred tax liability	131,465	92,555	38,910
Provision for pension and similar benefits	6,110	6,110	-
	137,575	**98,665**	**38,910**

Information on deferred tax liabilities and assets

Consolidated financial data
for the period from 1 January 2023 to 31 March 2023

(PLN 000s)	*31.03.2023*	*31.12.2022*	*Change*
Deferred tax liability	41,771	7,700	34,071
Deferred tax assets	24,997	26,468	(1,471)
			35,542

Unconsolidated financial data
for the period from 1 January 2023 to 31 March 2023

(PLN 000s)	*31.03.2023*	*31.12.2022*	
Deferred tax liability	131,465	92,555	38,910
Deferred tax assets	93,706	89,616	4,090
			34,820

Material purchase and sale transactions of property, plant and equipment

In the presented period, purchases related to the further expansion of the Dino Group store network and expansion of warehouse space as well as the purchases related to store and warehouse fit-outs constituted major transactions involving the purchase of property, plant and equipment. In the period from 1 January to 31 March 2023, the Group incurred capital expenditures (understood to mean the sum total of purchases of property, plant and equipment, including fixed assets under construction and of purchases of intangible assets, recognized in the balance sheet) o of approximately PLN 244 million (roughly PLN 327 million in Q1 2022).

Material obligations on account of property, plant and equipment purchases

As at the date of the financial statements, liabilities for property, plant and equipment purchases were related mainly to the purchase of construction services related to the ongoing rollout of the Dino Polska Group's store network. They totaled PLN 106,875 thousand. At the end of Q1 2022, investment liabilities were PLN 225,600 thousand.

Material litigation-related settlements

No material litigation appeared in the period from 1 January 2023 to 31 March 2023.

Correction of errors of previous periods

In the period covered by these statements, there were no corrections of errors of previous periods.

Changes in the economic situation and business conditions with material effect on the fair value of financial assets and financial liabilities

No occurrences covered by this item occurred in the reporting period.

Information on default on a loan or borrowing or breach of material provisions of loan or borrowing agreements

No occurrences covered by this item occurred in the reporting period.

Information on related party transactions

Related party transactions were routine in nature and concluded on an arm's length basis, at prices no different from the prices used in transactions between unrelated parties. Intra-Group transactions were eliminated in the consolidation process.

Information on changes in the fair value measurement methodology for financial instruments measured at fair value and changes in the classification of financial instruments

In this reporting period, no changes were made to the fair value measurement methodology and no changes were made to the classification of financial assets resulting from the change of purpose or use of such assets.

Information on the issue, redemption and repayment of non-equity and equity securities

No events referred to in this header occurred in the reporting period.

Information on dividend paid (or declared), in total and per share, for common and preference shares

During the reporting period, the Parent Company did not pay out any dividend.

Events taking place after the date of the quarterly condensed financial statements, which were not included in the statements but may materially affect the issuer's future financial results

By the date of these financial statements, no events occurred that may materially affect the Group's future financial results.

Information on changes in contingent liabilities or contingent assets that have taken place since the end of the previous financial year

No change in contingent assets was recorded in the reporting period. At the end of the reporting period the Group had contingent liabilities arising from concluded preliminary agreements in the amount of PLN 522,613 thousand (as at 31 March 2022: PLN 877,763 thousand).

Other information that can materially affect the assessment of the issuer's assets, financial position and financial result

No events other than the ones described above occurred in the reporting period that could materially affect the assessment of the Group's assets, financial position and financial result.

6. OTHER INFORMATION

Position of the Management Board on possibility of achieving the previously published financial performance forecasts

The Company's Management Board did not publish any forecasts for 2023.

Proceedings pending before courts or other competent bodies for the relevant proceedings

According to the Company's best knowledge, no material proceedings pertaining to liabilities or accounts receivable of Dino Polska or its subsidiaries are pending before a court, competent authority for an administrative proceeding or public administration authority.

Information on related party transactions

Both the Parent Company and its subsidiaries enter into transactions on an arm's length basis.

Sureties, loans, borrowings or guarantees extended by the issuer or its subsidiary

No events referred to in this header occurred in the reporting period.

Other information

Up to the report's date of publication, no other material events occurred that would require disclosure.

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Izabela Biadała – Management Board Member ………………………………………

Michał Krauze – Management Board Member ………………………………………

Piotr Ścigała – Management Board Member …………………………………………

Krotoszyn, 4 May 2023